

FUNDING VEHICLES FOR SHARED EQUITY HOUSING

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WHAT IS SHARED-EQUITY HOUSING (SEH)?

Combined models of owner-occupied housing that remain affordable in perpetuity.

Community Land Trusts

- A non-profit owns land and provides 99-year leases.
- Removes the cost of land from home purchases.

Limited Equity Cooperatives

- A multi-unit building completely owned and managed by its residents.
- Sometimes combined with CLTs to provide dense affordable housing.

SEH models have **price limits upon resale**: in exchange for buying property below market rates, you must sell it below market rates.

WHY ISN'T THERE MORE SHARED EQUITY HOUSING?

There are 32 Limited Equity Co-ops and 13 active Community Land Trusts in Illinois.

SEH organizations are essentially affordable housing developers and have similar and unique problems when acquiring new housing.

Policy Problem: Shared-Equity Housing projects in Illinois lack a dedicated, affordable, and accessible funding source to expand their housing operations.

Evidence Category	Source and Year	Key Findings	Relevance
Research Report	Institute for Housing Studies. (2024). Community Land Trust Task Force Report . Chicago: Institute for Housing Studies at DePaul University .	The lack of consistent funding is one of the biggest problems facing CLTs in Illinois, and government funding is a recommended solution.	Interviews with leaders from active land trusts in Illinois
Organizational Census	Wang, R., Wandio, C., Bennett, A., Spicer, J., Corugedo, S., & Thaden, E. (2023). The 2022 Census of Community Land Trusts and Shared Equity Entities in the United States: Prevalence, Practice and Impact. Lincoln Institute of Land Policy.	Construction and rehabilitation are the most common ways CLT/SEH developer get more housing.	Current information on how active CLTs across the US manage their operations
Policy Brief	Neri, J. (2025, February). Leveraging the Community First Fund to Scale FHLBanks’ Mission Impact.	The Community First Fund is a flexible and affordable source of funding for CDFIs.	Provides insight on the current and potential of the Community First Fund
Loan Product Brief	Federal Home Loan Bank of Chicago. (n.d.). Community First Fund.	The Community First Fund is a \$50 million revolving loan fund that provides direct support to CDFIs in Illinois and Wisconsin.	Provides an overview of the Community First Fund’s benefits and operations.
Government Program Documentation	Chicago Department of Housing. (2023, November 14). Request for Proposals: Shared Equity Investment Program.	The Shared Equity Investment Program is a Chicago DOH fund that invests in SEH purchase assistance and SEH acquisition support.	Details out the requirements, regulations, and funding sources of Chicago’s SEH grant program.
Legislation	Mah, T., & Jimenez, L. (2025, January 7). Illinois House Bill 3291	Proposed legislation that would have reserved funds for limited-equity cooperatives.	Model legislation for a proposed policy alternative.
Investigative Journalism	Abello, O. P. (2026, January 6). Wholesale Banks: An Idea Whose Time Has Come Again?	Wholesale banks are a crucial source of capital for mission-oriented lenders who work with housing cooperatives.	A flexible, sustainable loan fund is valuable for lenders and SEH projects.
Policy Brief	Deursen, H.V. (2025, May 28). <i>Affordable Housing Finance 101</i> . Retrieved from Shelterforce: https://shelterforce.org/2025/05/28/affordable-housing-finance-101/	Affordable Housing Projects require a mix of grants, subsidies, and private loans to cover their development needs. Affordable sources of capital are vital tools for affordable developers.	Provides an overview of how affordable housing projects are financed.

THE BASELINE SEH DEVELOPMENT ENVIRONMENT

Most new housing in SEH projects come from construction and rehabilitation.

SEH developers rely on external funding for 80% of their project and operation costs.

Chicago's **Shared Equity Investment Program** is a grant partnership with the Chicago Community Loan Fund and is funded by Chicago Recovery Plan proceeds.



THE BASELINE SEH FUNDING ENVIRONMENT

Existing funding is highly competitive, administratively complex, and takes a long time to obtain.

Existing funding has rules that may be incompatible with SEH projects.

Market-rate loans are too expensive, and conventional lenders are hesitant to loan to these projects.

ALTERNATIVE I: **DEDICATED TRUST FUNDING**

The Affordable Housing Trust Fund is a source of capital dedicated to funding affordable housing projects in Illinois.

- Funded by real estate transfer taxes
- Managed by the Illinois Housing Development Authority
- Has ~\$60 million available in the form of grants or low-interest loans

This policy would **reserve funding in the Illinois Affordable Housing Trust Fund** for existing shared equity housing projects.

Model Legislation:

HB3291 2023: Amends the Illinois Fair Housing Act to dedicate 1% of Housing Trust Funds to limited equity co-ops.

ALTERNATIVE 2: **ADJUST CHICAGO'S SHARED EQUITY INVESTMENT PROGRAM**

Adopt this model as a **statewide program**.

Increase Funding: currently \$3.5 million invested, with a max subsidy of \$100,000 per unit.

Reliable Revenue Source: currently funded by Chicago Recovery Plan Bonds, a one-time federal source.

Ease Funding Restrictions: make construction and rehabilitation eligible uses.



ALTERNATIVE 3: **STATE INVESTMENT INTO THE COMMUNITY FIRST FUND**

The Federal Home Loan Bank is **wholesale, co-operative bank** with a dedicated mission to support affordable housing projects.

The FHLB of Chicago has a Community First Fund: a \$50 million revolving loan fund that makes **noncollateralized, low-interest, long-term loans** to member Community Development Financial Institutions.

The Chicago Community Loan Fund is **already a member** of the Chicago FHLB branch and has access to this fund.

The State can contribute money to this loan fund, in **exchange for additional focus** on SEH projects.

CRITERIA FOR A SUCCESSFUL FUNDING VEHICLE

Accessible: Is the funding source knowledgeable of the SEH model and administratively simple to receive?

Sufficient: is there enough total capital to help SEH projects meet their development needs?

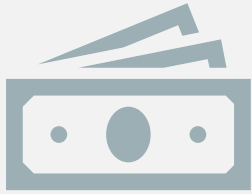
Affordable: Is the funding available at below-market rates?

Renewable: Is the funding self-sustaining?

Politically Feasible: Is the funding reliant on the cooperation of multiple political stakeholders?

Policy Alternative	Accessible	Affordable	Sufficient	Renewable	Politically Feasible	Score
Baseline	Low: -I Complex application, unknowledgeable lenders.	High: +I Grants do not need to be repaid.	Low: -I Grants do not cover enough costs.	Low: -I Grants are one-time payments.	Neutral Changing nothing requires no political will, in this case.	-2
Dedicated Trust Funding	Medium: 0 Construction and Rehab are eligible uses, but unknowledgeable lenders.	High: +I Grants do not need to be repaid; loans are zero and low interest.	Low: -I Low source of total capital in Trust, reserved capital is low.	High: +I The Trust is funded by a portion the State Real Estate Transfer tax.	Medium: 0 Requires new legislation; amends current funding structure.	I
S.E.I. Program Adjustments	High: +I This program is adjusted to work with the SEH developers.	High: +I Grants do not need to be repaid.	Low: -I The current funding is low; sufficiency relies on additional funding.	Low: -I Grants are one-time payments.	Low: -I Creating a new revenue source for a new state program; requires major statewide investment.	-I
State Investment in CFF	High: +I Existing loan infrastructure with knowledgeable lenders.	High: +I Loans at a below-market rate.	High: +I State funds would add to existing capital.	High: +I Funding source is a revolving loan fund.	Low: -I Requires a new organization structure outside of Illinois' complete authority.	3

TRADE-OFFS



Funding for SEH projects could remove funding from **affordable renting projects.**



Other development bottlenecks, like regulations and lack of land, can lead to **stagnate funds.**



A state-subsided source of funding can receive **political resistance from private lenders.**

RECOMMENDATION: STATE INVESTMENT INTO THE COMMUNITY FIRST FUND

Existing loan infrastructure already in place: adding to a program, not building a new one.

The fund already works the CCLF and other CDFI's involved in SEH projects.

The capital is not entirely dependent on State funds.

IMPLEMENTATION CONSIDERATIONS

Funding: Where will the State money come from?

Enforcement: The State will need a way to ensure shared-equity projects are given high consideration.

Multiple Stakeholders: The Federal Home Loan Bank must agree to cooperate. The CFF also serves CDFI's in Wisconsin: there is a chance Illinois funds will go to projects in another state.

QUESTIONS & DISCUSSION

Please share any questions you may have!

For Discussion:

Strict guidelines on grant fund usage often frustrate developers. How can governments ensure responsible management of public funds while supporting effective economic development?

Do you consider the lack of affordable financing a market failure? If so, what level of government involvement do you think is appropriate?

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